

When the RBI cuts rates, is it responding to economic fundamentals or fiscal pressure from the government to reduce borrowing costs?

Who is really driving monetary policy in India?

Reyansh Dhingra

ABSTRACT

Is the Reserve Bank of India (RBI) reducing interest rates in response to macroeconomic conditions or in response to Union government's fiscal pressure to reduce its own interest rate? This paper attempts to answer this question by comparing interest rate reductions by RBI with various macroeconomic and fiscal variables over the period of twenty odd years.

However, given the paucity of data, analysis is restricted to publicly available data of RBI, Ministry of Finance and Controller General of Accounts for the period of fiscal 2014-15 to 2025-26. The interest rate reductions by RBI are compared with Consumer Price Index (CPI) inflation, fiscal deficit as a percentage of GDP and market borrowing by government over the same period.

In addition, the institutional background of RBI-government relations, the Section 7 confrontation of 2018, departures of Governor Urjit Patel and Deputy Governor Viral Acharya and the record surplus transferred to the government by RBI following the Bimal Jalan Committee review are brought out. The evidence is mixed and is dependent on the episodes.

The Monetary Policy Committee (MPC) framework set up in 2016 has ensured that interest rate decisions are taken within the framework of the flexible inflation targeting mandate. However, at

times of acute fiscal stress or political salience, interest rate reductions by RBI have tended to align with the government's interest rate of interest reductions to facilitate its increased market borrowing. Thus, the Monetary Policy Framework has ensured interest rate independence but this independence is constrained by various informal ways and means adopted by government to influence RBI's interest rate decisions.

Thus, the paper concludes that the RBI operates under a constrained independence regime and not under a technocratic regime or a fiscal capture regime. Policy implications of such a regime are detailed in the paper.

Keywords: *Reserve Bank of India, monetary policy, fiscal dominance, central bank independence, repo rate, inflation targeting, fiscal deficit*

1. INTRODUCTION

The role of a central bank in an emerging economy is a balancing act. The central banker is the largest debt holder of the government, the manager of its debt, and in India, even a transfer paymaster to government of its surpluses. Thus the banker, debt manager, and inflation targeter are all one person. That person, is likely to be subject to some degree of fiscal dominance , where monetary policy is set to keep the

interest payments on the government's debt as low as possible and to keep the debt as sustainable as possible.

After formally adopting a flexible inflation targeting framework in 2016 (amended Reserve Bank of India Act, 1934; Monetary Policy Framework Agreement between Government of India and Reserve Bank of India, signed on 5 February 2015), India has

been adhering to a flexible inflation targeting (FIT) framework. The Monetary Policy Framework (MPF) designed in accordance with the amended Act specifies the objective of price stability, i.e. containing inflation within a specified target.

The target inflation rate of 4% within a band of plus/minus 2% has been mandated to be achieved by six Member Monetary Policy Committee (MPC) comprising of three Members from Reserve Bank of India and three Members nominated by Government of India (Reserve Bank of India, n.d.-a). While such rules are designed to make monetary policy more transparent, by conducting it through a rules-based framework it aids to remove it from short-term influences of politics and fiscal management. However, implementation on ground has not been easy, particularly when fiscal policy is implemented by the very same Government.

However, ever since the RBI migrated to the FIT framework in 2016, there have been several instances of ‘interference’ or even ‘conflict’ between the RBI and the government of India. For instance, the RBI’s inaction in face of government’s request to relax SLRs and base money in order to pump up liquidity was described by finance minister Arun Jaitley in a letter dated August 30, 2017 as ‘unwillingness to cooperate with government in a situation of obvious stress in banking system’.

Section 7 of RBI Act, 1934 was invoked in November 2018 for same set of objectives. Governor Urjit Patel and Viral Acharya, then a Deputy Governor at the RBI, put in their papers within short span of each other in December 2018. Interestingly, an unprecedented transfer of surplus of ₹1.76 lakh crore by RBI to government in 2019–20 was recommended by a committee set up by the RBI itself under the chairmanship of

Bimal Jalan (Chowdhury, 2019; OMFIF, 2019).

This paper seeks to address a more restricted question with respect to the hypothesis of fiscal dominance. How do the RBI's repo rate decisions over time compare to the two alternative stories or sets of fundamentals first, the fundamentals of the FIT framework, and second, the set of fiscal fundamentals.

We will test these two alternative stories against the data using a variety of time-series data sets including: RBI data with respect to the repo rate; MOSPI/RBI data with respect to the latter's CPI inflation index; and Ministry of Finance data with respect to the government's fiscal deficit and associated borrowing as a proportion of GDP.

We will work with an extended time-series of data, running from FY2014-15 to FY2025-26. This is a teaching paper that has

the goal of modeling an APA-style research paper written by an author and utilizing a variety of data and materials to investigate a key macroeconomic issue that has garnered considerable attention in recent years.

The rest of the paper is organized as follows.

Section 2 delineates the RBI's roles and its monetary transmission mechanism. Section 3 elaborates on the theoretical backdrop and available empirical work on central bank independence, as well as the specific case of India. Section 4 elaborates on the data used, including time-series as well as cross-sectional data, and spells out the methodology adopted. Section 5 includes empirical analysis to verify the two competing hypotheses. The key charts are included within the text. Section 6 details the analysis and interprets the findings in light of the institutional backdrop. Section 7 provides conclusions for policymakers and also suggests some potential avenues for further research.

2. THE ROLE OF THE RBI AND THE MECHANICS OF MONETARY POLICY IN INDIA

2.1 Statutory Mandate and Objectives

The Reserve Bank of India was set up under the Reserve Bank of India Act of 1934 and began to operate in 1935. The Bank's activities can be broadly classified into five categories: (i) monetary authority; (ii) regulator and supervisor of banks and other financial service providers; (iii) manager of exchange; (iv) issuer of notes; and (v) banker to the government and to the banks (RBI's banking functions). Within this last function, the Bank acts as the debt manager of government's market borrowing by conducting auctions of dated securities and of Treasury Bills; advises the government on timing and quantum of its non-borrowing spending as well as on its market borrowing program; and, until 1997, had been automatically monetizing the government's fiscal deficit through ad hoc treasury bills

that were later discontinued by mutual agreement between RBI and Ministry of Finance (Reserve Bank of India, n.d.-b). The RBI functions as the government's debt manager. It holds and manages the government's public debt and conducts its market borrowings by issuing and auctioning dated securities (government bonds) and treasury bills. The RBI advises the government on the timing and quantum of its debt issuance. Till 1997, the RBI also monetized the government's fiscal deficits on an ad-hoc basis through a variety of special treasury bills. While these were terminated by mutual agreement between the RBI and Ministry of Finance, the conflict of interest that the practice had posed does not cease to exist. The conflict of interest that the practice had posed does not cease to exist. The RBI's interest rate setting functions as the benchmark against which the government's debt is priced in the market. In the US, this conflict of interest

does not exist for the Federal Reserve, which does not manage the Treasury's debt issuance calendar.

2.2 Monetary Policy Committee and Inflation Targeting Framework

The Monetary Policy Committee (MPC) was set up by the Reserve Bank of India in June 2016 to determine monetary policy. The MPC comprises of 6 members ,3 from Reserve Bank of India (Governor of RBI, Deputy Governor of RBI and Member from RBI) and 3 external members appointed by Government of India for a period of four years. All the members of MPC are to give their opinion and are to cast their vote. However, the Governor shall have casting vote in case of equality of votes of members of MPC. In other words, the opinion of Governor shall prevail in case of equality of votes of members of MPC. The objective of MPC is to keep the inflation rate at 4% by using monetary policy and keep it within a

band of 2% and 6%. A breach of this band for three consecutive quarters shall require RBI to submit a report to Government within a specified time frame and such report shall include explanation for failure to contain inflation, actions proposed to be taken and time frame within which such actions are expected to be taken to contain inflation within the specified target. This is as mandated under Section 45ZB of the Reserve Bank of India Act, 1934 as amended. This setup was meant to two things: First, the MPC was to anchor inflation expectations by spelling out in detail a transparent and rule-based framework for monetary policy. Second, by spreading the responsibility of setting monetary policy, it would be difficult for a single Governor to impose his policies, or for that matter the government's wishes. A setup of six members, with public minutes of deliberations and the dissents recorded, would be much harder to 'capture' than a

single Governor answerable to the Finance Minister, who in turn is responsible to Parliament. However, the Governor and his team are also members of the MPC and this would also affect the decisions taken by the Committee.

2.3 Monetary Policy Instruments and Transmission

The principal instrument of monetary policy in India is the repo rate. Repo rate is the rate at which the RBI lends and makes available money to the commercial banks for a short period, typically overnight. It is offered against the collaterals of government securities. The decrease in the repo rate results in a decrease in the marginal cost of funds for commercial banks. This decrease results in a decrease in the lending rates for consumers and for businesses. It leads to an increase in the credit in the economy to promote investment and consumption to contain demand side inflation. Therefore, an

increase in the repo rate results in a decrease in the credit in the economy to contain demand side inflation. The reverse repo rate and the Standing Deposit Facility (SDF) rate introduced in April 2022 are used by the RBI to absorb surplus liquidity in the banking system. The Cash Reserve Ratio (CRR) and the Statutory Liquidity Ratio (SLR) are maintained by the commercial banks as a percentage of their total deposits with them. These are required to be maintained in the form of reserves with themselves or in the form of approved liquid assets, such as government securities.

The RBI also carries out open market operations (OMOs) by buying and selling government securities to regulate the liquidity in the economy. Since October 2019, Retail, MSME customers availing new Floating Rate loans have benefited from mandatory EBLR (External Benchmark Lending Rate) basis. So essentially, all new floating rate loans are based on Repo Rate

only! This has enhanced speed & completeness of Monetary Policy transmission. As repo rate drops, EMI on your existing Retail / MSME loans reduces. This is one area where changes in RBI's policy impacts in a short span of time! Earlier, with MCLR regime, it was challenging for banks to revise interest rates within a short period, and the impact wasn't so visible in the form of EMIs.

3. LITERATURE REVIEW: CENTRAL BANK INDEPENDENCE AND FISCAL DOMINANCE

3.1 The Theoretical Case for Independence

The rationale for central bank independence is given by the time-inconsistency problem of government-controlled monetary policy. According to Kydland and Prescott (1977) and further formalized by Barro and Gordon

(1983), governments will incur losses from surprise inflation in the short run but will gain from increased nominal output as well. In addition, governments with an independent monetary policy may also use inflation to reduce the real value of outstanding debt. A rational observer anticipates such behavior by a government with control over the money supply and prices and, thus, forms expectations of future inflation that, in fact, are higher on average than actual inflation with no positive effect on long-run real output.

Delegating monetary policy to a conservative central banker (Rogoff 1985) with a credible commitment to price stability is generally considered the best way to deal with the time-inconsistency problem. Cross-country studies for advanced economies (e.g., Cukierman 1992; Alesina and Summers 1993) confirm that the degree of legal independence of the central bank is negatively correlated with average inflation

and with inflation variability. For developing countries, however, the correlation between legal independence and average inflation and between legal independence and inflation variability is much weaker, and in many cases the legal independence of the central bank in developing countries is not reflected in actual (de facto) independence.

3.2 Fiscal Dominance in Theory

Fiscal dominance describes the inverse condition: a regime in which the central bank's actions are constrained by the government's financing needs, such that monetary policy becomes, in effect, an instrument of debt management rather than price stability (Sargent & Wallace, 1981). Sargent and Wallace's 'unpleasant monetarist arithmetic' showed that if fiscal policy is set independently and the government's intertemporal budget constraint must hold, the central bank may eventually be forced to monetize deficits

regardless of its stated inflation objective. Tight money today can even imply higher inflation tomorrow if it raises the real interest bill the government must eventually inflate away.

In emerging markets with high public debt-to-GDP ratios, large government securities markets in which the central bank is a dominant player than in economies like the United States or the Eurozone.

Acharya (2020), writing after his own tenure as RBI Deputy Governor, has argued explicitly that India exhibits recurring symptoms of fiscal dominance: pressure on the central bank to ease liquidity and capital norms for public sector banks to keep credit flowing to government priority sectors, pressure to transfer higher dividends and reserves to the exchequer, and pressure to keep interest rates low to contain the government's own debt-servicing burden.

3.3 The Indian Institutional Record

India's experience does not fit neatly into either a pure-independence or pure-dominance box. Prior to 1997, the RBI automatically monetized government deficits through ad hoc treasury bills; this was discontinued by a 1994 agreement phased out by 1997, a genuine expansion of operational independence (Mercatus Center, 2020).

The 2016 MPC reform was a further, formal strengthening of independence. Yet informal pressure has persisted and periodically become highly visible. In late 2018, the government reportedly invoked Section 7 of the RBI Act, a provision allowing the government to issue directions to the RBI Governor 'in public interest,' never previously used, reportedly to press the RBI on liquidity for non-banking financial companies, capital adequacy norms for weak public sector banks, and the transfer of RBI reserves to the government (Deccan

Chronicle, 2019). Deputy Governor Viral Acharya publicly warned that undermining central bank independence could be 'potentially catastrophic' for markets (Deccan Chronicle, 2019), while the then Finance Minister Arun Jaitley countered that the RBI's own lending oversight had contributed to the non-performing assets crisis (Deccan Chronicle, 2019). Governor Urjit Patel resigned in December 2018, nine months before his term was due to end, and Acharya followed roughly six months later, having warned publicly that erosion of central bank independence produces long-run attrition of institutional talent and credibility (The Week, 2019).

The subsequent Bimal Jalan Committee, constituted to determine the RBI's 'economic capital framework' exploring, how much of its balance sheet the RBI needed to retain as a buffer versus how much could be transferred to the government, commended a lower contingency reserve ratio, paving

the way for a record ₹1.76 lakh crore transfer to the government in August 2019, comprising both a dividend and a one-time drawdown of reserves (OMFIF, 2019).

Observers noted this as the most concrete instance in which fiscal pressure appeared to have reshaped a core RBI balance-sheet decision (OMFIF, 2019). Rajan himself, commenting separately on the RBI Board's proper role, argued the Board exists 'to protect the institution... not to serve others' interest,' comparing its ideal posture to a steady, sensible presence rather than an aggressive operational actor (Deccan Chronicle, 2019) an implicit rebuke of the pressure being applied at the time.

This history frames the empirical question of this paper: even where the MPC's day-to-day rate decisions are formally insulated by a statutory inflation mandate, does the timing and scale of RBI easing cycles show a pattern more consistent with fiscal

accommodation than with a pure Taylor-rule response to inflation and the output gap?

4. DATA AND METHODOLOGY

We rely on four categories of secondary data which are derived from the sources primary that relates to government and central bank sources and secondary financial data aggregators mentioned in the research question. Data derived from these sources for this paper are all therefore drawn from primary sources and secondary sources that have compiled from the primary sources.

1. RBI Policy Repo Rate: Year-end values for the period 2014-15 to 2025-26 were collected from Monetary Policy Committee (MPC) resolutions of Reserve Bank of India. These values were cross-checked with values available on RBI's Database on the Indian Economy (DBIE) and secondary sources such as Stable Investor (2026).

Reserve Bank of India (n.d.-c), Press Information Bureau (2024), Trading Economics (2026).

2. CPI (Combined) Inflation: This data is derived from the annual average of the Consumer Price Index (Combined) published by the Ministry of Statistics and Programme Implementation (MOSPI). In order to cross check the data with the inflation targets announced by RBI in its Monetary Policy Statements, the realized rate of inflation has been noted against the target announced for each year (Press Information Bureau, 2024; Trading Economics, 2026).

3. Union Government Fiscal Deficit (% of GDP): Data used for this indicator has been extracted from the various Union Budget documents (Press Information Bureau, 2024), the Union Government's Macro-Economic Framework Statements (Ministry of Finance, n.d.) as well as the provisional

actuals published by the Controller General of Accounts (CGA) (Press Information Bureau, 2024; GovtBudget.com, 2026).

4. Gross Market Borrowing (dated securities) in ₹ lakh crore as mentioned in Union Budget documents. There are two important caveats here. First, the figures for the last year (2025-26) are either Revised Estimates (and thus not audited) or Budget Estimates (and thus not even attempted). Final audited actuals are published by the CGA twelve to eighteen months later. I have marked these figures with an asterisk in all the charts.

The second caveat is that this paper does not attempt to do any sort of formal econometric causal analysis of any sort. If one were to attempt to estimate a Taylor-rule, for example, with an interaction term for the fiscal deficit, or set up a structural VAR, this would require either a monthly or quarterly panel, with a much larger number of time

periods, as well as a much larger number of control variables, including the output gap, as well as the global rate cycle, particularly the Federal Reserve in the US and how it affects interest rates in India through capital flows and currency stability. Such an exercise would be more suitable for a dissertation-length empirical study, and I have here restricted myself to a very disciplined and transparent visual and comparative analysis of the annual data (plus a very structured institutional-history reading of same).

expect repo rate movements to track inflation with a lag, rising when inflation runs above the 4 percent target and falling when it runs below.

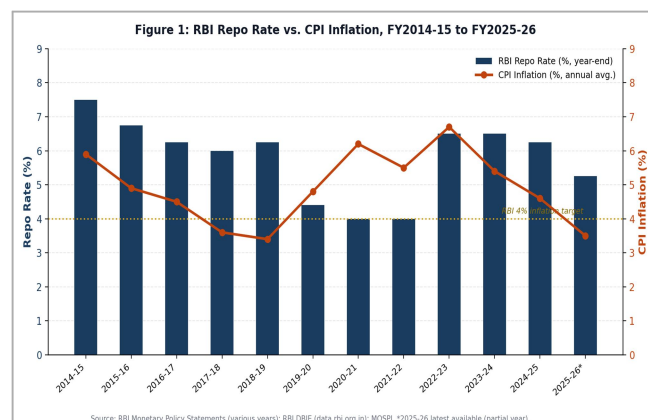


Figure 1

*Source: RBI Monetary Policy Statements;
RBI DBIE (data.rbi.org.in); MOSPI
(compiled by author).*

5. EMPIRICAL ANALYSIS

5.1 Repo Rate and Inflation: Testing the Fundamentals Story

Figure 1 plots the RBI policy repo rate against CPI inflation for FY2014-15 through FY2025-26. If the RBI were purely and mechanically inflation-targeting, we would

A look at the RBI's interest rate decisions over the years shows that the fundamentals based pattern has held true most of the time. Between 2014 and 2019, the central bank lowered interest rates as disinflation deepened and the economy grew. The subsequent easing in 2019 was again in line

with inflation easing below target and a sharp slowdown in growth. The interest rates were then hiked sharply between February 2022 and October 2023 as inflation surged to near 7% due to a massive increase in commodity prices following the Russia-Ukraine war. A pause in repo rate since October 2023 at 6.5% for over a year, as growth has remained a matter of policy concern, does not look like fiscal accommodation. The government would have wanted interest rates to have come down long ago but the MPC has kept them high. This is not consistent with the hypothesis of fiscal capture, when all that the government would have wanted was lower interest rates to support growth.

There is however considerable ambiguity around the depth and duration of the easing initiated by the RBI in 2019. Five cuts between February and October, 2019 (amounting to a cumulative reduction of 135 basis points) to bring the repo rate from

6.50% to 5.15% at the end of that year when inflation had been increasing steadily over the year to be around target at the end of the calendar year, is an instance where the direction of rate actions by the RBI went against the inflation trend contemporaneously. It is also the period of severe growth slowdown, of rising stresses in the NBFC sector and associated severe liquidity crunch, the same year in which the Section 7 confrontation between the RBI and the government took place and when the surplus transfer to the government by the RBI touched a record high (as noted in Section 3.3 above).

5.2 Fiscal Deficit and the Repo Rate: Testing the Fiscal-Accommodation Story

Figure 2 juxtaposes the Union government's fiscal deficit as a percentage of GDP against the repo rate over the same period. A pure fiscal-dominance story would predict that repo rate cuts cluster around periods of fiscal stress i.e., that the RBI eases precisely

when the government's deficit, and therefore its borrowing cost sensitivity, is highest.

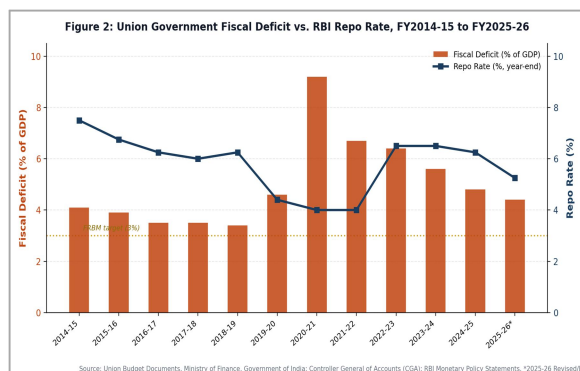


Figure 2

Source: Union Budget Documents, Ministry of Finance, Government of India; CGA; RBI Monetary Policy Statements (compiled by author).

The most extreme test case for both hypotheses in the context of India would be the period of COVID-19. As is well known, the fiscal deficit of the Government of India shot up during the period from 4.6% of GDP in FY2019-20 to a record high of 9.2% in FY2020-21 (see GovtBudget.com, 2026 for details). Interestingly, the RBI had, in the meantime, slashed the repo rate to an all-

time low of 4.00% and had kept it there for two long years from May 2020 to April 2022 during which it held six MPC meetings in all and kept the repo rate unchanged in each of these meetings. It is easy to see why the two hypotheses can deliver identical predictions in a deep recession such as the one caused by the global pandemic, since a severe decline in output and demand will reduce inflation to very low levels and thus justify rate cuts on fundamentals; on the other hand, a sharp increase in the fiscal deficit would, in itself, create a powerful case for rate cuts on fiscal motive. It is difficult to rule out one hypothesis or the other with any more than on the basis of annual data.

However, the post-COVID period is even more telling. Even as the fiscal deficit declined from 9.2% in FY2020-21 to a low of 4.4% in FY2025-26 (GovtBudget.com, 2026), the repo rate did not rise symmetrically. In the face of inflation, it had

increased to 6.50% in FY2022-23, and remained there in FY2023-24. It is only in FY2025, when the CPI inflation had declined to comfortably below 4%, that the RBI eased. The sustained fiscal consolidation of 2022-2025 was a period when the government most needed low rates to make its consolidation path credible and its debt trajectory sustainable. Instead, the RBI was not accommodating the fiscal authority's desire for lower rates. This, again, is strong evidence of the RBI following a fundamentals-driven, MPC-anchored policy framework.

5.2 Easing Episodes in Political-Economy Context

Figure 3 catalogues the RBI's six major easing (or pausing) episodes since 2014 alongside their proximate macro-political context, to make the ambiguity concrete rather than abstract.

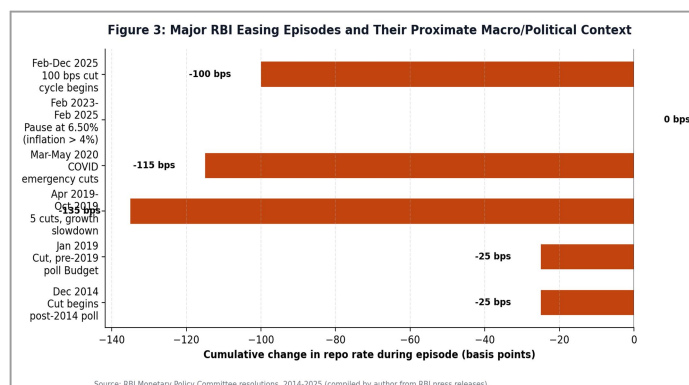


Figure 3

Source: RBI Monetary Policy Committee resolutions, 2014-2025, compiled by author from RBI press releases.

Two episodes merit particular scrutiny for students building the fiscal-pressure case: the January 2019 cut, delivered roughly three months before the 2019 general election was called, at a time when headline inflation was comfortably below target and gave the MPC latitude to cut without obvious fundamentals urgency; and the broader 2019 cutting cycle discussed above, which coincided with the Section 7 stand-off. Conversely, the 2023-2025 pause at 6.50 percent held through a period when the

government would plausibly have preferred cheaper financing to support its capital expenditure push is the strongest single piece of evidence for MPC independence in the dataset, since it represents the RBI visibly declining to deliver what fiscal accommodation would predict.

5.3 Government Borrowing and the Repo Rate

Figure 4 examines gross government market borrowing directly against the repo rate. Government borrowing rose from ₹5.71 lakh crore in FY2018-19 to a peak of ₹15.43 lakh crore in FY2023-24 (Press Information Bureau, 2024), driven by pandemic-era spending and a sustained capital-expenditure push. Under a strong fiscal-dominance regime, one would expect the repo rate to move inversely and tightly with this borrowing trajectory — falling as borrowing needs rise, to keep the government's interest bill manageable.

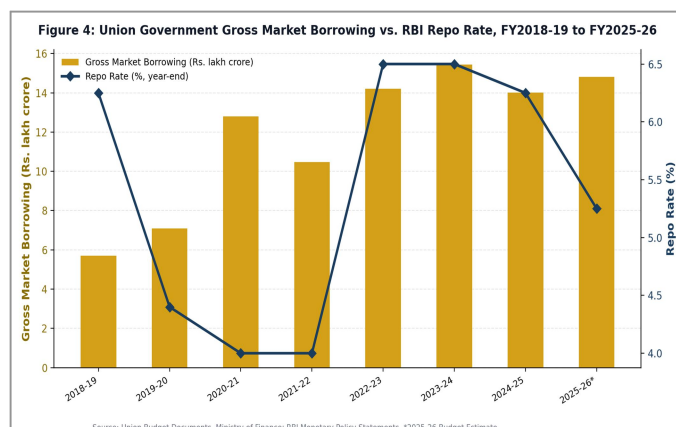


Figure 4

*Source: Union Budget Documents,
Ministry of Finance; RBI Monetary Policy
Statements (compiled by author).*

The relationship is visibly weak. Gross borrowing rose steadily and almost monotonically from FY2018-19 onward, while the repo rate fell sharply through 2019-2020, held flat through 2020-2021, then rose sharply in 2022-2023 directly against the direction that would minimize the government's marginal borrowing cost at precisely the moment borrowing needs remained elevated. This divergence during the 2022-2023 hiking cycle is arguably the

single most powerful data point in this paper against the fiscal-dominance hypothesis: the RBI raised rates by 250 basis points while the government was still borrowing at near-record levels, a decision that directly raised the government's own debt-servicing costs in the name of inflation control.

6. DISCUSSION

Bringing together the quantitative analysis with the institutional one three conclusions are derived. Formally, the MPC framework is binding. There are two strong test cases in the data, firstly the hiking cycle of 2022–23 against the backdrop of large government borrowing and secondly the pause of 2023–25 against the backdrop of large scale fiscal consolidation when cheaper financing would have been helpful to the RBI in both cases the RBI acted against what would have been the case of fiscal accommodation and in the

direction of the inflation mandate. This is strong evidence that the formal MPC architecture of the post-2016 institutional framework is having an impact on the behavior of the RBI. There is substantial empirical evidence that formal, legislated central bank independence is more likely to translate into discipline on the part of the central bank than is the case with informal central bank independence. Even though we cannot see all of the fiscal influence that there is, there is substantial evidence that there are a number of channels through which informal fiscal influence is exercised. And there is substantial evidence that such influence is episodic.

It is not as if every time the MPC meets, the government is putting on maximum pressure on the RBI through all of the possible channels. In fact, as we have seen, informal fiscal influence is more concentrated around a few balance-sheet and/or governance decisions, rather than around every MPC

meeting. As we also saw, Section 7 was used once in the post-MPC era (and then repealed), and that was enough to extract a one-time transfer of RBI reserves from the RBI that was not in line with the RBI's own risk-management preferences.

We also saw how Patel and Acharya were forced to resign as members of the MPC, and that was in line with the strong governance agenda of the RBI under Governor Shaktikanta Das. In addition, we saw how a surplus transfer of RBI reserves was enabled by the Jalan Committee, against the risk-management preferences of the RBI.

Now, in all these cases, the pressure on the RBI was not exercised through the legally independent repo rate. It was through the RBI's balance-sheet and capital framework. It was also through tools such as reserve transfers, liquidity-injection, and even forbearance by the RBI to public-sector banks. Even the seats of the MPC members

who are government-nominated could be used. Since the legally independent repo rate is the most scrutinized of all the monetary policy instruments of the central bank, in the current institutional architecture in India, it is more likely that such influence would manifest itself through these channels rather.

Third, as with all cases, there are facts that are unknown and thus the best one can do is to treat the 2019 easing cycle as an ambiguous case it can be motivated by a growth slowdown and by a crisis in the shadow-banking sector rather than try to fit it into a particular straitjacket. In this author's view, its ambiguity is especially problematic for the pure-independence story given the timing around the general election and the still-ongoing Section 7 crisis.

While it is possible to tell a pure-independence motivated story for the easing, it is a very poor one and in the end motive is very hard to untangle from outcome using

annual data that is already public. Hence it is important to note that there is, in fact, no definitive evidence of fiscal capture in the 2019 easing. There is one more consideration, not explored in this paper to keep the paper within specified limits, viz., external factors, notably, the stance of monetary policy in the US and the resulting capital flows and exchange rate. These would, in turn, influence RBI's interest rate decisions, quite independently of how it views domestic inflation or the extent of domestic fiscal domination. These would, therefore, need to be controlled for in a more formal econometric analysis, perhaps by including them in a Taylor rule type framework, such as, an interest-rate-parity (IRP) term or a capital-flow term, among others.

7. POLICY CONCLUSIONS AND RECOMMENDATIONS

Based on the preceding analysis, this paper offers four policy conclusions.

1. *Safeguard the formal insulation of MPC:* The reforms to MPC introduced in 2016 have so far been the only effective guarantee to deter fiscal dominance in determination of repo rate. We must ensure that the processes of reappointment of the Government nominated members on MPC remain transparent and rule-based to prevent future appointments from moving the median voter on MPC to accommodate fiscal pressures.

2. *Lock in RBI's Economic Capital Framework and Ensure Rule Based Reserve Transfers.* While surplus transfer of Rs 1 lacs crores in FY 2019 was welcome step, absence of standing rule based reserve transfer formula during year exposes this channel to political pressure from time to

time. A body comprising of independent members needs to be formed to periodically review the Jalan Committee recommendations and announce triggers with greater transparency and rule based approach.

3. Section 7 of the RBI Act and RBI-

Government interactions need to be made more transparent. As Section 7 of the RBI Act has been invoked at least once now, it is in the interest of Parliament to make an amendment to require the invocation of Section 7 in future and for reasons to be stated and placed in public domain.

4. For future research, one can move from annual to monthly or quarterly data and estimate a formal Taylor-rule regression with a fiscal-deficit or borrowing-cost interaction term, controlling for the US federal funds rate and the rupee's real effective exchange rate. This would allow for a more precise estimation of the

fundamentals of the 2019 episode as opposed to the portion of the deviation from the trend caused by fiscal pressure.

We cannot conclude that the government is in charge of monetary policy or the RBI is entirely autonomous. Our reading of the evidence is that India's central bank has a rules based monetary policy framework and on the most stringent of tests the MPC has thus far resisted being swayed for fiscal accommodation, at a considerable cost to the government in terms of its increased borrowing bill. On the other hand the tests of fiscal pressure on the RBI in 2018 and 2019 are well documented and thus real, not hypothetical. The evidence points to the balance sheet of the RBI and governance of the institution rather than the repo rate as the site of such pressure, and we see in section 7 of the RBI Act a weapon that has been used in the past and which has the potential to be used in future to put additional pressure on

the RBI in the face of what the government sees as technocratic obstinacy.

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